

INDIAN ECONOMY

**LEVEL
II**



TERMINOLOGY

MODULE - 3

25. LOGISTICS COSTS
26. GLOBAL COMPETITIVENESS
27. LOW HANGING FRUITS
28. EMBEDDED TAXES

29. IMPORT SUBSTITUTION
30. POLICY PARALYSIS
31. NUDGE
32. ANIMAL SPIRITS

33. HIGHLY LEVERAGED
34. CONFLICT OF INTEREST
35. ASSET LIABILITY MISMATCH
36. MORAL HAZARD



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LOGISTICS COSTS

- These are the costs associated with taking a product from the factory to the consumer.
- These are considered generally high in India in comparison to other developing countries.
- GST is expected to reduce logistics costs.
- Reducing the logistics costs is important for global competitiveness.



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GLOBAL COMPETITIVENESS

- It is the ability of a Nation to create and maintain an environment that sustains more value creation for its enterprises and more prosperity for its people.
- It is the ability of a country to achieve sustained high rates of growth in GDP per capita.
- The productivity should reach the level of the most efficient Nations.



*Global Competitiveness
Report is released by
World Economic Forum.*



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LOW HANGING FRUITS

- Getting the maximum output with minimum effort. Simplest or easiest work to be done first, to reap the outcomes early.
- It is also used to describe an action that takes almost no effort.
- It also refers to a problem that is easy to solve.



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EMBEDDED TAXES

- The taxes on diesel, electricity, stamp duty on real estate transactions are examples of embedded taxes and they will have cascading effect.
- Cascading effect means a tax on tax.



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IMPORT SUBSTITUTION

- The policy of encouraging domestic production by raising barriers against the import of goods from foreign countries.
- Some economists recommend them for self-sufficiency, and to develop domestic industry during its infancy stage.
- India adopted it after Independence for the first four decades, till liberalization of its economy in 1991.
- Critics have argued that import substitution make consumers poorer in the long run, by preventing them from enjoying the benefits of free trade.
- Due to the restrictions imposed on foreign trade, it can lead to lethargy and bureaucratic corruption.



$$\text{Rs. } 10,000 + 10\% = \text{Rs. } 11,000$$

**Tariff increased
from 10% to 30%**

$$\text{Rs. } 10,000 + 30\% = \text{Rs. } 13,000$$



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POLICY PARALYSIS

It is the complete lack of initiative at implementing crucial reforms required in the Government Sector.



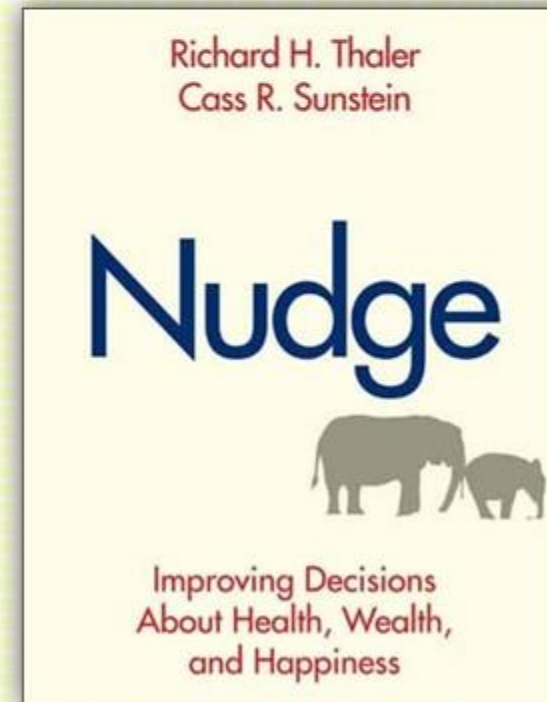
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NUDGE

- Humans are not so rational and they need encouragement or intervention. This is known as Nudge and they should be encouraged, but not forced, to do something or desist from certain actions, which are harmful to the society / human beings.
- Example is putting fruit at the eye level in stead of banning the junk food



RICHARD THALER



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ANIMAL SPIRITS

- It describes the psychological and emotional factors that drive investors to take action, when faced with high levels of volatility in the capital markets.
- It is about how human emotions affect consumer confidence.



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HIGHLY LEVERAGED

- It means the company has comparatively high debt or we can say, it is primarily dependent on borrowed capital as a funding source for expanding its operations.
- The company has got less skin in the game.



EQUITY
Rs. 100 Cr

SCENARIO - 1

DEBT-EQUITY RATIO
IS 9 & HENCE
HIGHLY LEVERAGED

DEBT
Rs. 900 Cr



DEBT-EQUITY RATIO IS
1 & HENCE LEVERAGE
IS NOT HIGH

EQUITY
Rs. 500 Cr

SCENARIO - 2

DEBT
Rs. 500 Cr

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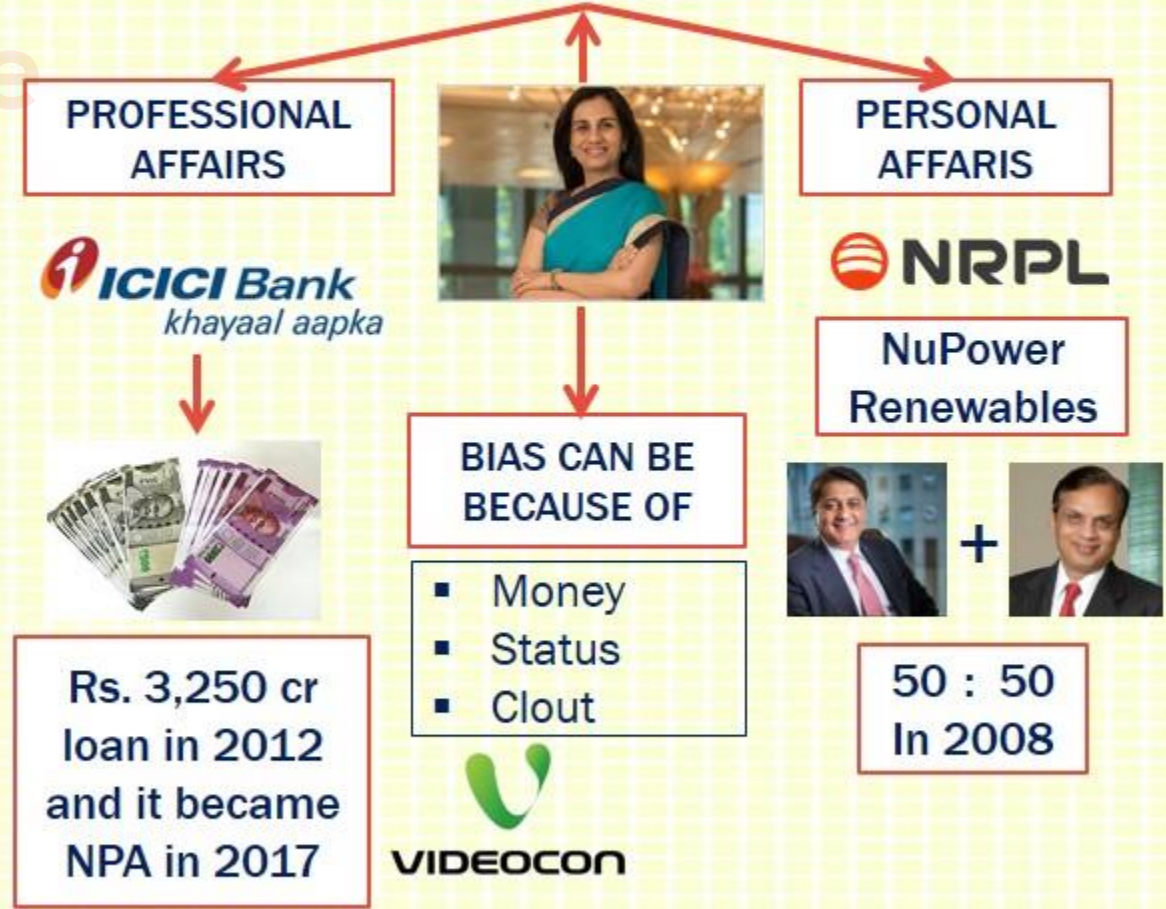
CONFLICT OF INTEREST

A conflict of Interest is a situation in which a person or organization is involved in multiple interests, financial or otherwise, and serving one interest could involve working against another.



CONFLICT OF INTEREST

CLASH BETWEEN



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ASSET LIABILITY MISMATCH

- It is the situation, when the deposits are of short / medium term and the loans are long term i.e., with longer repayment periods.
- It is also the situation, when the outflow of liabilities are more than the inflow of assets.

LIABILITIES DEPOSITS



EXAMPLE OF BANKING SYSTEM

ASSETS

LOANS



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MORAL HAZARD

It is a situation in which one party gets involved in a risky event knowing that it is protected against the risk and the other party will incur the cost.

1

TAKE THE CASE OF A HOUSE WITH & WITHOUT INSURANCE!

**2**

FARMER TAKING AGRICULTURAL LOAN WITH THE EXPECTATION THAT GOVT. WILL WAIVE IT OFF!



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

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0866 244 44 72

98499 42299

94415 27588